

STRICTLY PRIVATE AND CONFIDENTIAL

Green Square and L'avenir

Due Diligence Memorandum

Private placement of EGP 125 million: EGP 62.5 million in each project. Companion to the Investment Memorandum and Financial Annex.

ALL INFORMATION IN THIS DOCUMENT IS CONFIDENTIAL AND SUBJECT TO THE NON-DISCLOSURE AGREEMENT.

Issued by Jalour Developments, a subsidiary of Al Jalal Holding, Cairo. October 2026.

Purpose and status

ALL INFORMATION IN THIS DOCUMENT, IN THE OTHER DOCUMENTS OF THIS PACK AND IN THE DATA ROOM IS CONFIDENTIAL. It is provided only under the non-disclosure agreement between the recipient and Jalour, and must not be disclosed, copied, forwarded or used for any other purpose.

This memorandum helps the investor and its advisers plan and carry out due diligence on both projects. It lists the documents Jalour will provide, the legal and regulatory structure, the evidence behind the main assumptions, the opinions and security documents required, a candid list of red flags, and the open items. It describes status as at October 2026. Items marked [After NDA] are provided after the investor signs the non-disclosure agreement (template provided in this pack); items marked [Pending] are being prepared. It is not legal advice.

Where this memorandum and the Investment Memorandum differ, the Investment Memorandum and the Financial Annex are the reference for figures; the definitive agreements prevail over both.

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1. Corporate and project-company structure

Table 1: Structure

Layer	Entity	Status
Holding	Al Jalal Holding, Cairo	[After NDA]
Sponsor and developer	Jalour Developments	[After NDA]
Project companies	One for each project [names, jurisdiction and capital to be confirmed]	To be formed or confirmed; each holds its project rights and issues the investor entitlement for its project
Landowner	Al Ahly Sabbour	Counterparty under the development agreement for each plot
Investor	[Name]	KYC and source-of-funds to be completed

- Each project is held in its own company. There is no cross-collateral and no cross-default between the projects. The investor places EGP 62.5 million in each in a single transaction.
- The legal form of the investor's entitlement (equity, loan or contractual entitlement) is open and drives tax, regulation and enforceability. Counsel to advise; see section 6.
- No funds are ring-fenced or held in restricted accounts under the proposed structure. Jalour's position is that the rule requiring a separate project account for developers on state-allocated land does not apply to these plots; the basis is in the data room.
- The balance of project funding is provided by Jalour sponsor equity, project collections and other capital sources. This applies in each project.
- All information in this memorandum, in the pack and in the data room, including the financial information of both projects, is covered by the non-disclosure agreement.

Jalour may raise further capital at project or holding level, subject to the investor's stated rights as to ranking, collateral and information. This is a standard term and does not offer exclusivity.

2. Al Ahly Sabbour agreements and consent status

Table 2: Agreement terms and evidence

Term (from the Jalour model)	Green Square	L'avenir	Evidence to provide
Landlord share	35% of collections	35% of collections	Signed agreements
Minimum guarantee	EGP 800 million over six years	EGP 850 million over six years	Schedule and payment mechanics
Down payment	EGP 80 million	EGP 85 million	Proof of payment or payment date
Guarantee schedule	Y1 45, Y2 90, Y3 135, Y4 180, Y5 180, Y6 90 (EGP m)	Y1 0, Y2 90, Y3 180, Y4 225, Y5 180, Y6 90 (EGP m)	Agreement schedules
Excess over guarantee	From year 8	From year 8	Settlement clause
Delivery	Project month 42	Project month 42	Delivery covenant, remedies for delay

Consent requirements and status (each project)

Table 3: Consents

Consent	Needed for	Status
Allocation of units to the investor	Option A	[Status after NDA]
Assignment of the investor's contract before handover	Option A	[Status after NDA]
Earmark of unsold units as collateral	Option B	[Status after NDA]
Acknowledgement that landlord payments are unchanged and borne by Jalour	Both	[Status after NDA]
Any assignment of collections or encumbrance affecting the landlord share	Not proposed	Not required unless the structure changes

Receipt of each landlord's written consent is a condition precedent to signing for that project. The investor should see the consents before funding.

3. Permits, licences and land status

Table 4: Permit and land status

Item (for each project)	Status	Document
Land title and allocation to the landowner	[After NDA]	Title deed, allocation contract, master-developer approvals
Master-plan and detailed-plan approval for the plot	[After NDA]	Ministerial or authority approval
Building permit and licences	[After NDA]	Permit, civil defence, utilities
Environmental and utilities approvals	[After NDA]	Approvals and capacity letters
Sales approval before launch	[After NDA]	Authority approval to announce and sell (see section 6)
Design and consultant appointment	[After NDA]	Appointment letters, design approvals

Prime Minister Decree 2184 of 2022 reportedly bars developers on state-allocated land from announcing sales before approval of the general and detailed plans (Invest-Gate; Mondaq). Jalour's position is that it does not apply to these plots; the basis is provided in the data room after the investor signs the non-disclosure agreement.

4. Construction and cost basis

Table 5: Cost basis

Cost line (EGP million)	Green Square	L'avenir	Basis
Construction (core and shell)	697.2	697.2	Stage schedule scaled by a factor of 8 in the model [Jalour to explain what the factor represents and provide contractor pricing]
Sales commission	90.1	106.9	4% of sales value, paid 12 months after each sale quarter
SG&A and others	104.6	104.6	15% of construction: contingency, professional fees, overhead (5% each)

Table 6: Stage cost schedule in the model

Stage group (model unit schedule)	EGP million before factor of 8
Excavation and replacement	5.800
Concrete structure	14.900
Building works	1.320
MEP and plumbing	40.000
Curtain walls	21.000
Landscape	4.125
Total per unit schedule	87.145

- Cost per m2 of built-up area is about EGP 53.5 thousand (Green Square) and EGP 52.0 thousand (L'avenir), for core and shell including a basement stage. Jalour to provide a bill of quantities and contractor quotation for each project.
- The models apply no construction cost inflation over the 36-month build. Jalour's working papers contain a construction-cost index that is not applied. A 10% overrun reduces NPV by EGP 57 million (Green Square) and EGP 57 million (L'avenir).
- Design, permit and pre-construction costs are not separately modelled. The funding plan adds EGP 10.5 million per project as an assumption.
- Independent engineer review of cost and programme is recommended (optional protection).

5. Sales and pricing evidence

Table 7: Pricing against market evidence (GS = Green Square, LA = L'avenir)

EGP per m2	GS launch	GS delivery list	LA launch	LA delivery list	Market evidence (asking)
Offices	135,000	200,000	160,000	240,000	106,000 to 120,000 (Mostakbal City listings, 2026)
Retail	225,000	300,000	250,000	360,000	139,000 to 325,000 (New Cairo listings, individual)

- The plans raise list prices from the first to the last sales tranche by 33% (retail) and 48% (offices) in Green Square and 44% and 50% in L'avenir. New Cairo secondary prices rose 3.1% y/y in Q1 2026 (JLL via Enterprise); broker estimates for 2026 are 10% to 16% a year (a blog estimate). Against today's office asking prices (mid-point EGP 113,000) the delivery lists are +77% and +112%.
- Sellable office area in the models is 10,129 m2 (Green Square) and 10,437 m2 (L'avenir), against 8,682 and 8,946 m2 of office built-up area. Jalour to provide the sellable-area schedules.
- Payment plans: down payment 5% to 20%, equal second payment after three months, instalments over 2 to 8 years, delivery payment 20% to 25%. Standard sale contract to be provided.

Table 8: Sales sensitivities (EGP million; Jalour net cash flow)

Sales sensitivity	GS NPV	GS peak	LA NPV	LA peak
Prices -19%	13	184	113	175
Prices -9%	124	114	232	138
Prices +10%	336	102	469	88
Sales delayed 6 months	138	217	244	366
Sales delayed 12 months	52	408	143	779
Sales delayed 24 months	-103	1,075	-38	1,179
Delivery payments at handover	166	269	313	244

6. Legal and regulatory structure, and opinions required

6.1 Questions for counsel (no legal conclusions are given here)

- Nature of the instrument and whether the placement needs any filing, approval or exemption with the Financial Regulatory Authority or another body; investor eligibility.
- The basis for Jalour's position that the separate project-account rule for developers on state-allocated land (Decree 2184 of 2022) does not apply to these plots. The proposed structure does not ring-fence funds.
- Validity, assignability and any change-of-control or consent clauses in each landlord agreement.
- Enforceability of the unit allocation, the earmark and negative pledge, and of any promissory notes or post-dated cheques.
- Rules on assignment (resale) of off-plan contracts and on developer consent and fees.
- Foreign investor matters: ownership of units, repatriation of proceeds and foreign-exchange availability.
- Tax: withholding on Option B payments, tax on Option A resale gains, VAT, stamp duty and registration fees.
- Terms, governing law and dispute forum of the non-disclosure agreement (template in this pack).

6.2 Opinions and certificates required

Table 9: Opinions

Opinion or document	Given by	Status
Capacity, authority and due execution (each project company, Jalour)	Jalour counsel	[Pending]
Enforceability of the investment agreements and security	Jalour counsel	[Pending]
Title and rights to each plot; landlord agreement validity	Counsel	[Pending]
Regulatory position of the placement	Counsel	[Pending]
Tax opinion on both options	Tax adviser	[Pending]
Foreign investor and repatriation opinion (if applicable)	Counsel	[Pending]

7. Security documentation

Table 10: Documents

Document	Parties	Applies to
Investment agreement (one per project, or one with project schedules)	Project company, Jalour, investor	Both options
Unit allocation agreements (registered)	Project company, investor	Option A
Landlord consent and acknowledgement (each plot)	Al Ahly Sabbour, project company, investor	Both
Earmark and negative pledge over unsold units	Project company, investor	Option B
Payment priority and information undertaking	Project company, Jalour, investor	Option B
Sponsor funding undertaking (project funding gaps; not a return guarantee)	Jalour, project companies	Both
Promissory notes or post-dated cheques (optional)	Project company, investor	Option B
Non-disclosure agreement	Jalour, investor	Both
Corporate approvals, incumbency, KYC	All	Both

Nothing in the package is a restricted account, escrow or segregated collection account. The investor's protection rests on covenants, reporting and the earmarked or allocated units, and on Jalour's funding undertaking. There is no cross-collateral or cross-default between the projects.

8. Structures considered and rejected

8.1 Option A: source of units

The units must come from sellable inventory that carries the launch list price.

Table 11: Unit sources

Source considered	Jalour cost of capital (combined)	Effect
First two sales tranches of each project at launch list (recommended)	21.6%	Removes 21% (Green Square) and 17% (L'avenir) of those tranches; landlord payments unchanged
Same area taken pro rata from all tranches (higher average prices)	30.7% (Green Square); 31.6% (L'avenir)	Costs more because later units are priced higher

A mix of retail and offices in proportion to the launch tranches is recommended (Green Square retail 32%; L'avenir retail 31%). Offices alone are possible but are the harder asset to replace in the early sales.

8.2 Option B: payout structures

Table 12: Option B structures

Structure (combined)	Investor IRR (base)	Downside lowest pooled cash (EGP m)	Why rejected or chosen
S1 fixed multiple, equal instalments	26.5%	-1,144	Chosen: simple and certain
S2 share of collections, floor and cap	28.9%	-1,142	Takes cash needed for construction; no better coverage
S3 fixed 1.8x plus share of collections	27.6%	-1,139	More complex; same coverage issue

A 1.5x coverage test on quarterly net cash flow cannot be met in the construction-peak quarters by any structure that pays in them. Reducing the multiple would not cure it. The structure therefore pays on a fixed schedule, discloses the shortfall, and relies on pooled cash, the payment priority covenant and Jalour's funding undertaking.

9. Risks and mitigants

Table 13: Risk matrix

Risk	Effect on the investor	Mitigant	Residual
Price below plan	Option A value falls; project cash weaker	Downside case; Option B unaffected by price	Medium
Sales delay	Funding peaks EGP 408 million (GS) and EGP 779 million (LA) at 12 months	Jalour funding; phased sales	High
Delivery payments at handover	Peaks EGP 269 and 244 million	Contractual milestone; Jalour funding	Medium
Both projects short at once	Combined peak EGP 318 million (handover payments); EGP 1,089 million (downside)	Disclosed; Jalour reserves and other projects' cash	High
Cost overrun	NPV down per 10% overrun: see section 4	Contingency; fixed-price contracts; engineer	Medium
Landlord consent or dispute	Allocation blocked or delayed	Condition precedent	Low if obtained
Jalour funding capacity	Option B payouts depend on it in downside	Funding undertaking; audited accounts; payment priority	High
Legal and regulatory	Structure, timing or cost change	Counsel opinions before signing	Medium
Confidentiality breach	Loss to Jalour and the landowner relationship	Non-disclosure agreement covering all information and advisers	Low

10. Red-flag disclosure list

Candid disclosure protects both sides. These points are known to Jalour and may reduce the investor's return or increase risk.

1. **Delivery payments are collected before handover.** The models collect them at project months 24 (Green Square) and 33 (L'avenir), 18 and 9 months before handover. If collected at handover the peak shortages are EGP 269 and 244 million, not EGP 102.5 and 102.0 million.
2. **Price growth.** The plans need list prices to rise 33% and 48% (Green Square retail, offices) and 44% and 50% (L'avenir); launch office prices exceed current Mostakbal City asking prices; recent growth evidence is mixed.
3. **Sellable office area** exceeds office built-up area in both projects; not yet reconciled.
4. **Cost basis.** Construction cost is a stage schedule multiplied by a factor of 8 that is not yet explained; no inflation; no separate pre-construction cost.
5. **No sales are contracted yet** and the permit, title and consent documents in sections 2 and 3 are provided after the investor signs the non-disclosure agreement.
6. **Payout coverage.** Net cash flow covers Option B instalments by 1.5x or more in only 4 of 12 quarters in Green Square and 9 of 12 in L'avenir. Pooled cash covers at least 2.5x in the base case.
7. **Downside funding need.** With sales delayed 12 months and prices 10% lower the funding needs are EGP 441 and 849 million, EGP 1,089 million together, and the lowest combined pooled cash after Option B payouts is EGP -1,144 million. The investor relies on Jalour's capacity to fund it; there is no parent guarantee and no restricted account.
8. **Both projects are short at the same time in stress cases.** The combined base-case low is EGP 168.0 million in month 9 (common calendar, Green Square launch = month 1); the funding undertaking draws on Jalour's cash reserves and on other projects' cash outside these two, which are not shown.
9. **Option A uses the first sales tranches.** The investor receives 21% (Green Square) and 17% (L'avenir) of the launch-priced inventory, which raises the peak shortage before the ticket to EGP 106.9 and 123.8 million and gives the investor units that compete with Jalour's later sales.
10. **Commission timing.** The models pay commission 12 months after each sale quarter; if paid at sale, early funding needs are higher.
11. **Sponsor information** (track record, audited accounts) is provided only after the investor signs the non-disclosure agreement, and the **form of the investor's instrument** is still open.
12. **Market data** are reported from third-party summaries and asking prices; they are not audited.

11. Questions an investor is likely to ask

Is the price growth realistic? The plans need +48% and +50% on offices. Evidence is mixed (section 5). Option B removes the exposure; the Option A downside shows 19.5% IRR on the combined EGP 125 million.

What if delivery payments are not received early? Peak funding rises to EGP 269 and 244 million (Investment Memorandum, section 11). Jalour funds the gap.

Who pays if a project has a gap? Jalour has said it will cover project funding gaps from its cash reserves and from cash generated by other projects it is constructing. The form and cap are to be documented; see red flag 7.

Can I choose a different option in each project? No. The choice, Option A or Option B, applies to both projects.

Why is coverage below 1.5x in some quarters? Instalments fall in the construction peak. The disclosure is in Investment Memorandum section 13.3.

Can I sell the units early? Only the contract, with Jalour consent and landlord acknowledgement, and likely at a discount (Investment Memorandum section 16).

What does the non-disclosure agreement cover? Everything in this pack and the data room, including the financial information of both projects. The template is included in this pack.

12. Data-room index

Table 14: Data-room index

No.	Folder	Contents	Status
1	Corporate	Constitutional documents, registrations, board approvals, structure chart	[After NDA]
2	Landlord	Agreements with Al Ahly Sabbour, payment schedules, down payment proof, consents	[After NDA]
3	Land and permits	Title, plans approvals, building permits, licences	[After NDA]
4	Design and cost	Drawings, area schedules, bills of quantities, contractor quotes, programmes	[After NDA]
5	Sales	Price lists, payment plans, standard sale contract, valuation, comparables	[After NDA]
6	Financial model	Financial Annex (provided with this pack)	Provided
7	Sponsor	Track record, team, audited accounts of Jalour and Al Jalal Holding	[After NDA]
8	Legal	Draft investment agreements, security documents, opinions	[After NDA]
9	Market	Reports and sources cited in Investment Memorandum Appendix D	Provided (citations)

13. Open items

Table 15: Open items

No.	Item	Owner
1	Landlord written consents: allocation, assignment, earmark (each project)	Jalour
2	Legal form of the investor's instrument, project company names and jurisdiction	Jalour and counsel
3	Confirm Jalour will not guarantee the return; documentation of the funding undertaking (form, amount)	Jalour
4	Evidence that delivery payments are contractual before handover	Jalour
5	Area schedules reconciling sellable and built-up office area	Jalour
6	Cost basis: contractor quotes, bills of quantities, factor of 8, pre-construction budgets	Jalour
7	Permits, licences, title status	Jalour
8	Track record, team, audited financial statements	Jalour
9	Regulatory position of the placement; separate project account question	Counsel
10	Secondary transfer rules and fees for unit contracts	Counsel
11	Execution of the non-disclosure agreement (template provided); governing law and forum	Jalour, investor and counsel